Darktrace: was 620p a fair price?

Project 04, sell-side view. Thoma Bravo's recommended cash offer for Darktrace plc: announced 26 Apr 2024, effective 1 Oct 2024. Model: models/Darktrace_04_08.xlsx. Figures in $ unless stated; per-share values in pence at the announcement rate of $1.25. Not investment advice.

Verdict

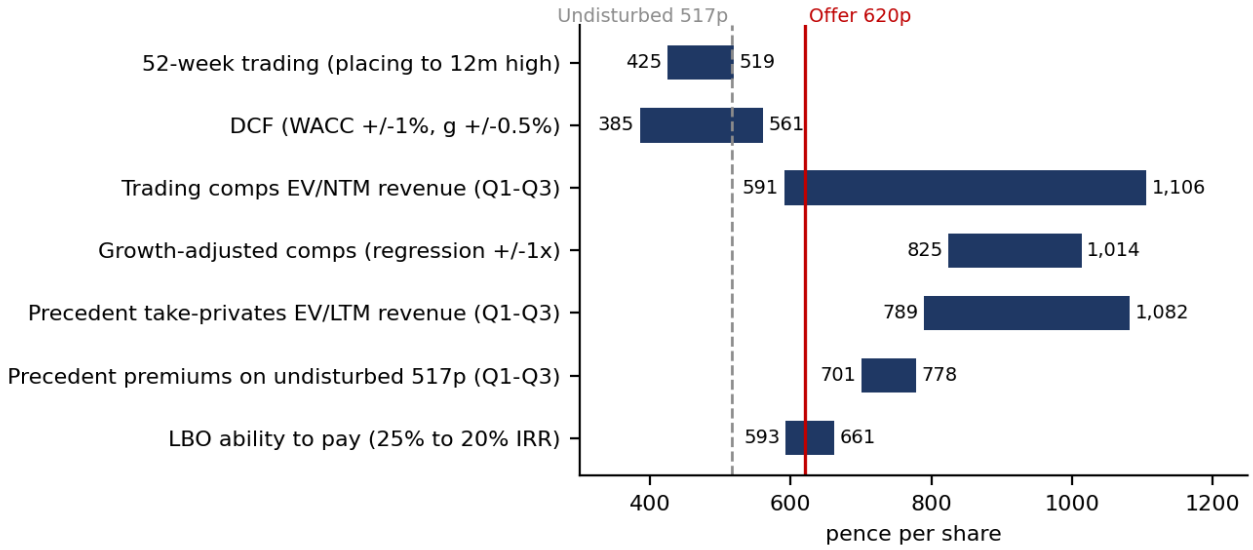
The offer was fair but not full. At 620p ($7.75) Thoma Bravo paid 20% over the undisturbed close of 517p and 44% over the three-month VWAP, or 8.1x LTM revenue and 34x LTM adjusted EBITDA. That is above my standalone DCF (455p, or 551p if share-based pay is ignored) and inside the range a sponsor could pay for a 20 to 25% IRR (593p to 661p). It is well below what listed US peers and the 2019 to 2022 take-privates imply (817p and 879p at the medians). The board's recommendation was defensible because the market had not offered Darktrace shareholders those multiples since 2022, and no rival had a reason to pay more.

The offer

Item	Value
Offer per share	$7.75 / 620p
Equity value (fully diluted)	$5,315m
Enterprise value (net cash $323m)	$4,992m
EV / LTM revenue (Dec 2023, $616m)	8.1x
EV / NTM revenue (my estimate, $810m)	6.2x
EV / LTM adjusted EBITDA ($146m)	34.2x
Premium to undisturbed close (517p)	20%
Premium to 3-month VWAP (429.9p)	44%
Premium to March 2024 placing (425p)	46%
Irrevocables, binding against a higher offer	14.7%
Court Meeting vote in favour (turnout 65%)	99.6%

The two premiums tell different stories. The shares had already risen 20% from the three-month VWAP to the undisturbed close, helped by the March 2024 placing clearing and an upgraded FY24 guide in the half-year results. Measured against the last close, 20% is low for a take-private. Measured against the three-month average, 44% is in line with precedents.

Valuation



Method	Range (p)	Midpoint vs offer
Trading: March placing to 12-month high	425 to 519	below
DCF, WACC 9.8-11.8%, g 3.0-4.0%	385 to 561	below
Peers, EV / NTM revenue, Q1 to Q3	591 to 1,106	above
Peers, growth regression +/- 1x	825 to 1,014	above
Precedents, EV / LTM revenue, Q1 to Q3	789 to 1,082	above
Precedent premiums on 517p, Q1 to Q3	701 to 778	above
LBO ability to pay, 25% to 20% IRR	593 to 661	at offer

DCF. Revenue growth fades from 21% in FY25 to 9% in FY31 as net ARR added has stalled at about $145m a year. Adjusted EBITDA margin rises from 24% to 31%, consistent with the company's mid-20s steady-state adjusted EBIT

target plus D&A of about 4% of revenue. Share-based pay, 6.9% of revenue in H1 FY24, is treated as a cost and falls to 4%. Cost of equity is 10.8% (US 10-year 4.54%, beta 1.25, ERP 5%) and terminal growth 3.5%. The result is 455p, with 70% of value in the terminal year at an implied 9.0x terminal EBITDA. Adding share-based pay back lifts value to 551p, still below the offer.

Trading comps. Seven US-listed security peers traded at a median 8.2x NTM revenue on 19 Apr 2024. The offer was 6.2x. The peer range is wide (Rapid7 3.8x to CrowdStrike 17.0x) and growth explains much of it: a simple regression of multiple on guided growth gives 9.3x for Darktrace's 21%. On that basis the offer looks cheap. The counter is that Darktrace had not traded near peer multiples since 2022. Its January 2023 short-seller episode, a share-based pay bill above most peers, and flat net ARR additions kept a discount in place that a buyer did not have to pay away.

Precedents. Seven cyber take-privates from Sophos (2019) to KnowBe4 (2022) cost a median 11.7x last fiscal-year revenue and a median 44% premium. Five of the seven were struck when the US 10-year yield was below 3%. With the yield at 4.5% in April 2024, paying 8.1x LTM revenue looks consistent with a lower multiple regime, not a discount to it. Sophos, the closest UK comparable and also a Thoma Bravo deal, went at 5.6x.

LBO. On my operating plan and the actual debt package, a sponsor clears 20% at 661p and 25% at 593p. Thoma Bravo paid in the middle of that range, which is what a disciplined sponsor does.

Board defence case

A board wanting to hold out for more had four arguments.

- **Peer multiples.** At the peer median the shares are worth 817p, and the growth-adjusted view is higher. This is the strongest argument and the one the board itself used when it described the shares as trading at a significant discount to global peers.
- **Prior rejections.** The board had already turned down earlier unsolicited proposals from Thoma Bravo as not reflecting value, so the 620p price was the product of negotiation.
- **Momentum.** In H1 FY24 revenue grew 27.4%, ARR 24.4% and the adjusted EBITDA margin was 25.6% against a full-year guide of at least 21%. The July 2024 trading update later confirmed FY24 growth of at least 26% and net ARR retention of 106.6%.
- **Alternatives.** A US listing or a larger buyback could narrow the discount without a sale.

None of these was decisive. The intrinsic value on reasonable assumptions sits below 620p, so shareholders were being asked to wait for a re-rating that had not come since the shares peaked in 2021. The main holders, KKR DA and Summit Partners, signed irrevocables for 11.3%. Jefferies and Qatalyst advised the board that the terms were fair and reasonable. Shareholders agreed: 99.6% of Scheme Shares voted were in favour.

Would a rival bid make sense?

Probably not.

- **A strategic buyer** (for example a large US security platform) could add cost synergies of about 10% of FY25 revenue, worth $542m after tax and integration costs. Paying away half on top of my DCF gives 487p, below the offer. A strategic would only beat 620p if it valued Darktrace on peer multiples, which its own shareholders would question for a business with slowing net new ARR.
- **A rival sponsor** using the same plan and debt reaches 661p at a 20% IRR, 7% above the offer. That headroom is thin against the cost of a contested bid, the need to match a debt package of 14.7x LTM EBITDA, and 14.7% of the shares already committed to Thoma Bravo under irrevocables that stay binding against a higher offer.
- **The market test.** The offer period ran five months, from announcement to the court sanction on 24 Sep 2024, and no competing bid appeared.

What would change this view

A higher FY24 margin (I assume 23% against a guide of at least 21%) or a lower cost of equity would push the DCF towards the offer: at a 9.8% WACC and 4% terminal growth the DCF reaches 561p. A buyer who believed growth would hold above 20% for longer could justify paying peer multiples. The model's Inputs sheet holds each of these as a single cell.

Sources: Rule 2.7 announcement (26 Apr 2024), scheme document publication (23 May 2024), meeting results (18 Jun 2024), effective announcement (1 Oct 2024), Darktrace FY23 results, H1 FY24 results and Q4 FY24 trading update; peer and precedent company releases. Full list with links on the model's Sources sheet.